

# Warsh's First Fed Meeting Confirms CRE's Higher-for-Longer Reality

No rate cuts in 2026 means refinancing risk stays elevated for \$875B in maturing loans.

The most important number in Kevin Warsh's first Federal Open Market Committee meeting is not the 3.5 percent to 3.75 percent federal funds rate. It is the dot plot's removal of any forecasted rate cut in 2026. Commercial real estate owners hoping that a new Fed chair would deliver cheaper debt got the opposite signal.

The central bank held rates steady for the fourth straight meeting, and the updated projections now show a year-end federal funds rate of 3.8 percent, up from 3.4 percent in March. Nine of 18 FOMC members see a near-term hike. This is not a pause. It is a reset of expectations. The market has been pricing in higher-for-longer for months. Transaction volumes remain compressed. Bid-ask spreads persist.

But the Fed's unanimous 12-0 vote Wednesday removes the last thread of hope that 2026 would bring meaningful rate relief. The war in Iran, solid job gains, and strong productivity growth give the committee cover to stay restrictive. For commercial real estate, the implication is straightforward: the refinancing window that opened briefly in late 2024 and early 2025 is now firmly shut.

Lisa Pendergast, CEO of the Commercial Real Estate Finance Council, noted that roughly \$875 billion in outstanding CRE loans mature this year, largely at 4 percent coupons. Refinancing those loans at current rates means a 150 to 200 basis point jump in debt service costs for most borrowers. That math does not work for assets that have not repriced.

Lenders will continue to extend maturities where they can, deferring the day of reckoning. But extensions are not free. They consume lender balance sheet capacity, tie up capital that could be deployed elsewhere, and delay the inevitable for sponsors who lack the equity to bridge the gap. The unanimous vote matters as much as the rate itself. The April meeting produced an 8-4 split, the highest dissent level since 1992.

Wednesday's unanimity signals that the committee has coalesced around a hawkish stance. Warsh, who chose not to participate in the dot plot, is forming five task forces to reexamine the Fed's data reliance and inflation framework. He also signaled a preference to abandon forward guidance, the tool the Fed used for years to shape market expectations. Removing forward guidance removes a crutch that real estate capital markets leaned on.

When the Fed told the market where rates were going, borrowers could plan. Without that signal, every refinancing becomes a negotiation with uncertainty. Jay Neveloff, partner and chair of U.S. real estate at HSF Kramer, captured the market's ambivalence. Some clients say a quarter-point cut would not change deal economics. Others are waiting for investment committee approval.

The split reveals a market that is not paralyzed by rates alone but by the absence of a clear path. The borrowers who benefit most are those who locked in fixed-rate debt before 2022 or who have floating-rate loans with aggressive interest rate caps. The sponsors most exposed are those with maturing loans on assets that have lost value, where the basis no longer supports refinancing at current leverage levels.

What the market should watch next is not the Fed's next meeting. It is the volume of loan extensions, the pace of discounted payoffs, and the willingness of private credit lenders to step in where banks retreat. The Fed has made its position clear. The capital stack will have to adjust. Liquidity has not vanished. It has become more expensive and more selective.

The next phase of the cycle will not be defined by who waited for lower rates. It will be defined by who had the equity, the asset quality, and the lender relationship to refinance at these rates.

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Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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